



Emergency Fund Starter Guide

For your Constitution: how many hits you can take.

John says: Pull up a stool. An emergency fund isn't about getting rich. It's about the day the transmission dies not turning into a credit card story you tell for three years.

How much, in three stages

- **Stage one: \$1,000.** Enough to cover most surprise bills without a card. Get here first, even if it takes a few months.
- **Stage two: one month of expenses.** Rent or mortgage, food, utilities, insurance, minimum payments. Add them up; that number is your target.
- **Stage three: three to six months.** Three if two incomes come into your home, closer to six if one income carries everything or your work is seasonal.

Where to keep it

- A savings account at a **different bank** than your checking. Out of sight is harder to raid.
- A high-yield savings account pays you to wait. Look for no monthly fee and no minimum balance.
- Make sure the account is insured (FDIC for banks, NCUA for credit unions). Never the stock market: this money has to be there on a bad day.

How to fill it without feeling it

- ☐ Set an automatic transfer the day after payday. Start with any amount, even \$25.
- ☐ Send half of every windfall (tax refund, bonus, birthday cash) straight to the fund.
- ☐ When a debt gets paid off, redirect that payment to the fund for three months.
- ☐ Write the target number on a sticky note where you'll see it. Cross off milestones.

The two house rules

- **What counts:** job loss, medical bills, car and home repairs you can't drive or live without.
- **What doesn't:** sales, trips, gifts, "I deserve it."
- **Refill first.** If you use it, the next paycheck goes back to refilling before anything optional.